



Weekly Economics Gazette Newsletter

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Hello!

Welcome to this week's edition of the **Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

Send us feedback and tips to finance@vseus.ca!

Market Overview:

This week highlighted how international policy decisions can reshape market dynamics, as the U.S.-EU trade deal boosted capital flows into the U.S. Meta's strong performance and corporate downsizing trends also signaled a shift toward AI-driven efficiency and long-term positioning.

Article 1: Trump and EU Reach Tariff Deal, Avoiding Trade War

Author, Source & Date Published: Kim Mackrael & Natalie Andrews, WSJ, July 27, 2025

Link: [Reference](#)

Summary:

The U.S. and the EU reached a deal just before the August 1st deadline to avoid the imposition of 25% US tariffs on imported European goods. This deal suggested 15% tariffs as the new "normal" in trade policy under the Trump administration.

Key Takeaways:

- The deal was completed thanks to European concessions. The EU agreed to open its market to the U.S. "tariff-free" and to buy \$750 billion worth of energy products like liquified natural gas (LNG), oil and coal. Additionally, the EU will invest \$650 billion in the U.S.



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- The EU closed this deal to create certainty for business planning and avoid a dangerous trade war. The deal formalizes tariff levels for key European industries like automobiles, semiconductors and some agricultural goods. Automobiles tariffs will decrease from the current 25% to the agreed 15%. However, details of the deal will be provided in a joint statement. **These details are very relevant to evaluate the prospects of the deal and its effects.**



The euro dropped sharply following the U.S.-EU tariff agreement announcement. Chart from TradingView.com (August 2, 2025)



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- The euro dropped following the deal, largely due to the EU's sizable investment and energy purchase commitments in the U.S., which increased global demand for the dollar and affected exchange rates. The Canadian dollar also faced indirect losses, as investors reallocated capital toward the U.S. to capitalize on expected investment flows. The agreement caused a broader currency market reaction, reflecting a global shift in sentiment toward American assets.
- Some industries might benefit from this deal, especially the aircraft, semiconductors, and certain agricultural products, as they will have zero-for-zero tariffs from both sides. The EU aims to negotiate for more goods to be added to this list of zero-for-zero tariffs.

Educational Angle:

Students should understand that the EU is willing to make these trade policy sacrifices, because they understand the cost of uncertainty. Uncertainty doesn't allow companies to plan and invest, and raises the cost of borrowing through higher risk premiums. The details will determine the impact of this trade deal. As of now, Spain and France appear to be the best-positioned EU economies under the new trade deal, as they are less exposed to U.S. competition and less dependent on exports.



Article 2: CEOs Trumpet Smaller Workforces as a Sign of Corporate Health

Author, Source & Date Published: Chip Cutter, WSJ, July 27, 2025.

Link: [Reference](#)

Summary:

Business leaders are reportedly increasingly proud to reduce their workforce, as they embrace the AI revolution to boost productivity and cut costs.

Key Takeaways:

- Corporate executives are aiming to replicate the structure of startups, where revenue and profit growth could be achieved with relatively few employees.
- The market is rewarding companies that reduce their headcount. They reduce labor costs and there is clear evidence that the company is smoothly implementing AI into its operations. Leaders also argue that a smaller workforce allows for greater vertical alignment across departments by reducing layers of middle management.
- Corporate leaders have changed the way they view downsizing. In the past, reducing headcount signaled negative expectations about future revenues. Today, it's seen as a sign that a company is moving forward and embracing innovation. It's not uncommon to hear CEOs proudly emphasize how lean their teams are.

Educational Angle:

Students should understand that the narrative over workforce reductions have changed in this AI-driven economy. This has shifted the labor market dynamic and investor expectations. Moreover, corporations are benefiting from reducing costs, but it may also reduce opportunities for entry-level workers and diminish the future management transition.



Article 3: Meta Seizes Its Moment to Spend More Aggressively in the AI Race

Author, Source & Date Published: Riley Griffin, WSJ, July 31, 2025

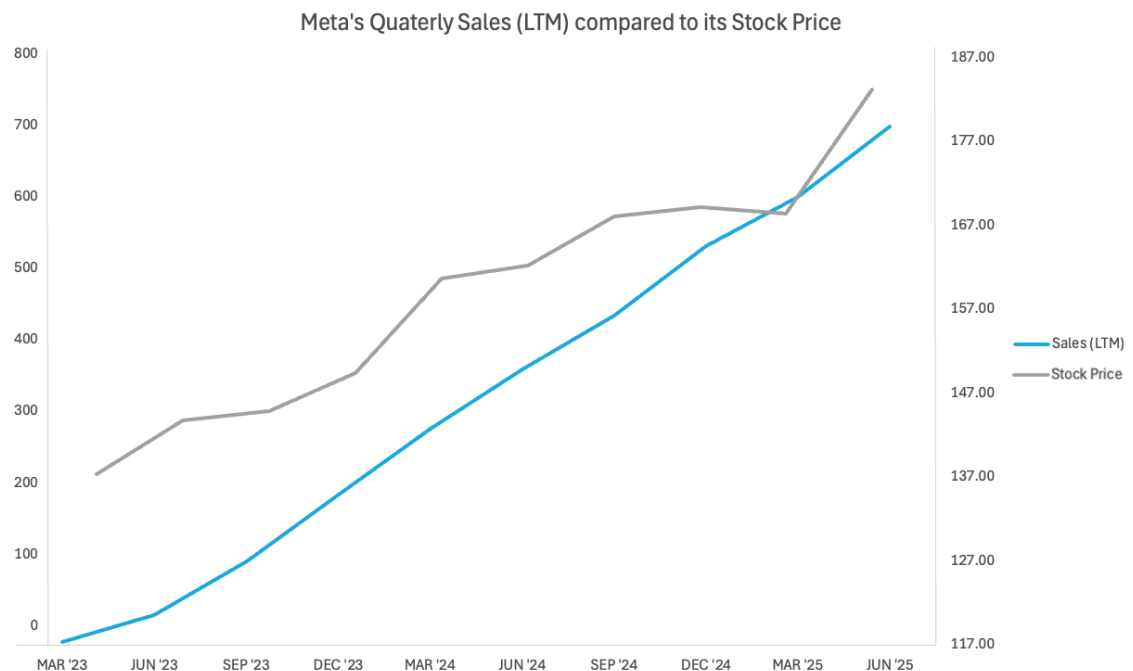
Link: [Reference](#)

Summary:

Meta reported earnings beat investor expectations by increasing revenue by 22%.

Key Takeaways:

- Meta is performing very well in their core advertisement business. The last financial report suggests that AI is already making progress in increasing Meta's profitability. It has been able to raise advertisement fees by claiming higher efficiency.



FactSet. Meta Platforms Inc. financials retrieved August 2, 2025. Graph created for educational purposes.



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- Meta's stock had already jumped 19% after Liberation Day. Following the report, Meta raised its revenue guidance for the next quarter, prompting an additional 11% surge in after-hours trading¹ as investors processed the news.
- The company is actively positioning itself as a long-term AI leader. It has made high-profile talent acquisitions, offering generous compensation packages to attract top human capital. It also invested in Scale AI, a startup focused on building high-quality data infrastructure for training AI models.

Educational Angle:

Students should understand that Meta is entering a new phase in its profitability cycle. It is shifting from collecting earnings to reinvestment. Like a startup, it is reinvesting heavily in infrastructure, AI, and talent to position itself for long-term growth. This explains the sharp rise in Capex. In the short term, margins may decline momentarily, but the company is betting that these upfront costs will translate into greater profitability. However, Meta is already receiving returns on its AI investments.

Earnings Schedule – Week of August 4, 2025

Date & Time	Company	Why It Matters
Aug 4, 2025 (AMC) ²	Palantir (PLTR)	Key AI driven data analytics for the U.S gov.
Aug 5, 2025 (AMC)	Advanced Micro Devices (AMD)	Leading chipmaker at the heart of AI infrastructure
Aug 6, 2025 (PMO) ³	Uber Technologies (UBER)	Key player on urban mobility
Aug 6, 2025 (PMO)	Shopify Inc. (SHOP)	Top e-commerce platform outside the U.S. Proudly Canadian!

¹ After-hours trading: Investors are able to trade after trading hours through brokerage platforms. This happens, because some companies like to make reports after the market closes, and investors are desperate to enter or exit their position.

² AMC: After market close

³ PMO: Pre-market open